



Statement of Investment Principles

Thames Water UPS (Closed Section) (2023)

1. Introduction

This Statement of Investment Principles has been prepared by the Trustee of the Thames Water UPS (Closed Section) in accordance with Section 35 of the Pensions Act 1995 (as amended). It sets out the principles governing the investment of the scheme's assets.

The Trustee has consulted the Sponsor and received written professional advice from the scheme's Investment Adviser before adopting this Statement.

2. Investment Objectives

The Trustee's primary objective is to ensure that the scheme can meet its obligations to members as they fall due. The Trustee also has regard to the long-term objective of securing member benefits through a buy-out transaction.

At the valuation date the scheme held assets of GBP 223.4m against technical provisions of GBP 242.6m.

3. Strategic Asset Allocation

Asset Class	Strategic %	Tolerance
LDI	53.2%	+/- 5%
Buy-and-Maintain Credit	23.5%	+/- 3%
Global Equities	8.4%	+/- 2%
Property / Real Assets	7.0%	+/- 2%
Cash & Collateral	6.9%	+/- 2%

4. Risk Management

The Trustee monitors a range of investment risks including interest rate risk, inflation risk, credit risk, equity market risk, liquidity risk and counterparty risk. The scheme maintains high hedging ratios on interest rates (95%) and inflation (93%) measured against the technical provisions liabilities.

5. Liquidity and Collateral

The Trustee maintains a collateral waterfall sufficient to withstand a 1-in-20 year adverse yield shock. Liquid assets are sized to cover at least 18 months of benefit outgo plus an additional collateral buffer for the LDI programme.

6. Responsible Investment

The Trustee believes that environmental, social and governance (ESG) factors are financially material to long-term investment performance. The Investment Manager is required to incorporate ESG considerations into all investment decisions and report annually on stewardship activity.

The scheme aligns its climate reporting with the Task Force on Climate-related Financial Disclosures (TCFD) recommendations.

7. Manager Selection and Monitoring

The scheme's assets are managed by LGIM under an Investment Management Agreement. The Trustee reviews manager performance quarterly against agreed benchmarks and risk limits.

8. Reviews and Amendments

This Statement is reviewed at least every three years, and without delay following any significant change in investment policy. The Trustee will consult the Sponsor before making any material amendment.

9. Buy-out Readiness

The Trustee has considered the investment strategy implications of a potential BPA transaction. The portfolio has been progressively de-risked to align with insurer pricing bases, with a current gilt-equivalent allocation of approximately 77% of total assets.